

rather than save for buying assets like housing. The first structural factor is that the market for personal loans is expanding because of this behavioural change.

Second is the bureau data that we now have. Over the last 10 years, our credit bureaus have built richer datasets. Alongside that, analytical capabilities have improved significantly, and so has computing power. It is not just credit bureau data; it is also computing power and technology. Banks can track how many times a borrower has gone to which bureau and what that behaviour looks like.

Finally, NIMs are under pressure because corporate loans in India have been mispriced for a long time, because of which the retail sector becomes more attractive. The market is expanding, and the data available to make informed decisions is expanding.

I would expect the composition of bank assets, at the margin, to shift towards personal loans—whether mortgages, credit cards, or other products—depending on individual banks.

Q: On the policy shift with foreign entities buying stakes in private banks, and the likely second round of PSB consolidation and M&A financing.

A: Viksit Bharat is not going to happen without a financial system that can back that ambition. Within the financial system, you need someone who will put in capital and take risks. Public sector banks and private banks are already doing it. If you need a fresh round of capital, where is it going to come from? You either open the banking sector to the domestic industry, but on that, there is a big debate happening. Who is going to provide that capital? It must be the foreigner.

I think, again, looking at the next 25 years, is it okay that India will have only four or five large private banks? It doesn't sound right. The seeds must be planted today. It takes 15 years for banks to grow. India is too large an economy to have only four or five private banks. I think this is a sign of a realisation—an acknowledgement—that you do need foreign capital if you want your financial system to be of a shape and size that is aligned with the Viksit Bharat ambition.

Q: On relaxing the promoter cap in private banks for domestic capital instead.

A: At a broader level, there are reasons why the regulator has placed caps on promoter stakes. I think, increasingly, the regulator must rely on a

high-quality board—independent directors and an independent chairman. At HSBC, there is no such thing as a promoter. Our board looks after the interests of every shareholder. Everybody is a minority shareholder. The solution perhaps lies as much in board governance.

Q: On banks being allowed in mergers and acquisition (M&A) financing.

A: This will fire up ambitions, particularly of small and medium-sized companies. When a large conglomerate wants to undertake an M&A transaction, financ-

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ing is relatively easy, because these companies are known to all banks. I think this is a great development for small and medium companies—and particularly the medium-sized ones.

Q: On RBI's relaxation in lending to large corporates.

A: This will be beneficial because when capital markets are not open for companies to raise funds, banks can step in as a reliable source of financing. Historically, exposure beyond 20% of a bank's Tier-I capital (25% at a group level) was seen as risky. However, the landscape has changed over the past decade. Companies that require such large borrowings today typically access multiple funding channels.

A substantial portion of their financing comes from capital markets and offshore sources such as external commercial borrowings, dollar bonds, and other instruments.

As a result, the concentration risk for banks has reduced. Given this diversification, there is now greater comfort in allowing some relaxation by removing broader system level constraint. This move appears to be part of a broader, coordinated effort to align the financial system so that it is better positioned to support growth and contribute meaningfully to the vision of a Viksit Bharat. **BT**